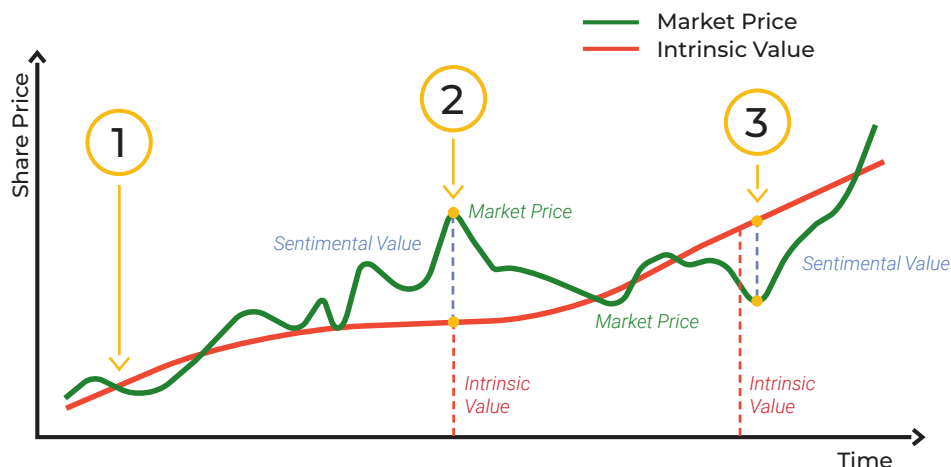


Market pricing must follow intrinsic value in the long run.



Point 1

At this point as per the chart, the intrinsic value and market price do not have a significant difference.

Point 2

At this point, the Market price is way above intrinsic value by a significant margin. The underlying reason is the positive sentiment in the market and as a result market price is outpacing its intrinsic value. At this point we can say that the stock is overvalued. We will learn more about valuation in further chapter.

Point 3

We observe a negative sentiment in the market, that is why the intrinsic value of the stock is more than the market price. We can say that the stock is undervalued here.

Learnings

In the long run, market prices moves around the true value. It may become periodically overvalued or undervalued, but largely it always moves around the true value. As analysts, our job is to find when it is undervalued and invest to benefit.